

Amar Singh v. State of U.P. And 2 Others

Allahabad High Court · Division Bench · 1 February 2021 · Writ - C No. 19589 of 2020 · **Writ petition disposed of without deciding merits; petitioner to file a fresh representation within two weeks for a reasoned speaking order after hearing, preferably within four weeks of filing; demand notice dated 28.03.2019 kept in abeyance for six weeks or until that decision, whichever is earlier; no benefit if the representation is not filed**

HEADNOTE

A licensee cannot recover by treating a provisional assessment as the final assessment without an opportunity of hearing. Applying *Shishir Jain*, the Division Bench held that the consumer cannot be compelled to deposit the provisional figure unless a final assessment is made after considering the objection and hearing him. Treating the provisional amount as final is *dehors* Section 126 of the Electricity Act, 2003 and Clause 6.8/8.1 of the U.P. Electricity Supply Code, 2005, and violates natural justice; Clause 8.1 requires inspection, provisional assessment, hearing and final assessment in theft cases. Without entering the merits, the Court directed a fresh representation for a reasoned speaking order after hearing, kept the 28 March 2019 demand in abeyance for six weeks or until that decision, and withheld the benefit of the order if the representation is not filed.

FACTUAL SUMMARY

Amar Singh was allotted a government quarter by the Secretary, Krishi Utpadan Mandi Samiti, Agra in 2016 and vacated it on 31 July 2017. He was later served with a demand notice dated 28 March 2019 (letter No. 2085/VI.VI.Kh. (II) Agra/Sec-3) for Rs. 1,63,656 towards electricity dues, founded on checking report no. 724 dated 28 November 2018. He petitioned the Allahabad High Court to quash that demand and for a mandamus that respondent no. 2 decide a letter dated 11 April 2019 from the Mandi Samiti Secretary, with the demand kept in abeyance meanwhile.

He contended that no provisional assessment notice had ever been served, so the demand was arbitrary, contrary to natural justice, and not in accordance with Section 126(3) of the Electricity Act, 2003 and Clause 6.8/8.1 of the U.P. Electricity Supply Code, 2005. Counsel for the Power Corporation said a provisional assessment had been made after checking and a notice sent, but he was not aware of the mode of service; copies of the provisional assessment notice and checking report were supplied in Court.

HOLDING-UNITS

INTERPLAY · UP-2005::8.1

theft assessment — provisional figure cannot be treated as final without hearing

QUESTION

May a licensee recover a theft/unauthorised-use demand by treating the provisional assessment as final where the consumer has not been heard?

HOLDING

No. Clause 8.1, read with Section 126, requires inspection, provisional assessment, hearing and a final assessment in theft cases. The Court was not convinced that a provisional assessment could be treated as final without an opportunity of hearing. Treating the provisional amount as the final assessment without hearing is *dehors* Section 126 and Clause 6.8/8.1 and violates natural justice; the petitioner could not be compelled to deposit on the provisional figure. Without deciding merits, he was directed to file a fresh representation within two weeks for a reasoned speaking order after hearing, preferably within four weeks of filing. The 28.03.2019 demand is kept in abeyance for six weeks or until that decision, whichever is earlier; if he does not file the representation, he gets no benefit of the order. ¶ 5-10

QUALIFIER

The Court did not quash the demand or find that service of the provisional notice had failed; licensee's counsel was unaware of the mode of service and supplied copies in Court. The second prayer, that respondent

no. 2 decide the Mandi Samiti letter dated 11.04.2019, was not separately granted.

FLAG Unnumbered 1.2.2021 order; paras are sequential blocks after the cause-title (1 heard; 2 reliefs; 3 petitioner's case including no provisional notice; 4 licensee's reply on service; 5 Court not convinced provisional can stand as final without hearing; 6 Shishir Jain para 16 quoted; 7 procedure dehors s.126 and Clause 6.8/8.1, Clause 8.1 described as the theft path; 8 representation directed without entering merits; 9 demand in abeyance; 10 no benefit if representation not filed). Petitioner and the Court cited Clause 6.8/8.1 together; the Court then specified Clause 8.1 as the theft-assessment procedure and did not independently construe Clause 6.8. Source PDF also contains a 7.12.2020 pass-over (Naheed Ara Moonis and Vivek Varma, JJ.) which is not the reasoned disposal.

HOLDING-UNIT · EA2003::126

no compulsion to deposit a provisional Section 126 assessment until a final assessment after hearing

QUESTION

Can the consumer be compelled to deposit the amount of a provisional Section 126 assessment when no final assessment after hearing has been made?

HOLDING

No. Following Shishir Jain paragraph 16, if there is no final assessment after considering the objection and giving an opportunity of hearing, the petitioner cannot be compelled to deposit the provisional amount. The procedure adopted was held dehors Section 126. Recovery on the 28.03.2019 demand was not allowed to proceed as a concluded final assessment; it was kept in abeyance pending a speaking decision on a fresh representation after hearing. ¶ 3, 6-9

QUALIFIER

Petitioner invoked Section 126(3); the Court's own holding is framed as Section 126. The demand was not quashed.

PRINCIPLE TAGS

opportunity-before-final-assessment Licensee's counsel could not speak to the mode of service of the provisional notice. The Court would not treat that provisional assessment as final, or permit recovery on it, without an opportunity of hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 4-7

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was applied as the theft path requiring inspection, provisional assessment, hearing and final assessment; treating the provisional figure as final without hearing was held to violate that procedure and natural justice. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 7

final-assessment-order-mandatory-under-section-126-3 Applying Shishir Jain paragraph 16, the Court held that without a final assessment after considering the objection and granting a hearing, the petitioner could not be compelled to deposit the provisional amount under Section 126. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 6-7

ex-parte-s126-assessment-requires-hearing-before-recovery The 28.03.2019 demand, treating the provisional amount as final without hearing, was not allowed to operate as concluded recovery; it was kept in abeyance pending a speaking order after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 7-9

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE CHECKING, WHETHER THEFT/UNAUTHORISED USE WAS MADE OUT, AND THE QUANTUM OF RS. 1,63,656

Expressly left undecided; a fresh representation was directed for a reasoned speaking order after hearing. ¶ 8

NOT DECIDED — WHETHER THE PETITIONER REMAINED LIABLE AFTER VACATING THE MANDI SAMITI QUARTER ON 31.07.2017

Recorded as his case; no finding on occupancy or liability after vacation. The checking report is dated 28.11.2018, after the stated vacation date. ¶ 3, 8

NOT DECIDED — MODE AND PROOF OF SERVICE OF THE PROVISIONAL ASSESSMENT NOTICE

Licensee's counsel said a notice was sent but was unaware of the mode of service, and supplied copies in Court. The Court did not find service proved or disproved. ¶ 3-5

Sought as relief (ii); the operative directions are a fresh representation and a stay of the 28.03.2019 demand, not a direction to decide that letter. ¶ 2, 8

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another</i> 2017 (3) AWC 3084 Allahabad High Court	If there is no final assessment, the consumer cannot be compelled to deposit the provisional assessment; without a final assessment after considering the objection and giving an opportunity of hearing, demand notices are not sustainable.		Court	Followed

SCJ-3219 · Amar Singh v. State of U.P. And 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.